

Markets Briefing **Equities**

US stocks stabilise while Treasury sell-off continues following Fed minutes

Central bank signals aggressive interest-rate rise to combat inflation



After the Fed raised its benchmark interest rate by 0.25 percentage points last month, 'many' policymakers viewed one or more half-point increases as appropriate if inflation remained elevated © Stefani Reynolds/AFP/Getty Images

Kate Duguid in New York and **Naomi Rovnick** and **George Steer** in London

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US stocks steadied on Thursday, stanching the large losses incurred the previous day after the release of minutes from the Federal Reserve's March meeting that detailed officials' willingness to tighten policy aggressively to combat inflation.

Wall Street's benchmark S&P 500 stock index ended Thursday up 0.4 per cent, having closed the previous session 1 per cent lower. The tech-heavy Nasdaq Composite, which fell 2.2 per cent on Wednesday, rose 0.1 per cent.

Europe's regional Stoxx 600 share index fell 0.2 per cent after [ending Wednesday](#) 1.5 per cent lower, on concerns that the European Central Bank would follow the Fed's rapid monetary policy tightening. Also rattling markets were fears that sanctions against Russia could stoke higher consumer prices. Germany's Dax slipped 0.5 per cent while London's FTSE 100 lost 0.5 per cent.

The Fed [minutes](#) detailed plans to shrink its \$9tn balance sheet, part of an effort to fight inflation. The minutes also showed that "many" policymakers viewed one or more half-point increases as appropriate if inflation remained elevated, after the Fed had [raised](#) its benchmark interest rate by 0.25 percentage points last month.

The annual pace of consumer price increases in the US soared to a 40-year high of 7.9 per cent in February.

"The Fed believes it is behind the curve. I think they have admitted now that they are behind the curve, and now they're coming out swinging," said Jack Ablin, chief investment officer at Cresset Wealth Advisors.

In spite of that, Ablin said: "The market is taking the news relatively well. Given where rates are currently, the stock market should be down more than it is year-to-date. There is a gradual acceptance in the equity world of what the rates market already believes."

The yield on the 10-year Treasury note continued its rise, up 0.04 percentage points to 2.64 per cent, having earlier reached a three-year high. A fierce sell-off in US government debt, in anticipation of the Fed's balance sheet reduction, has lifted yields across maturities this week. The 30-year yield also reached a three-year high.

Bond yields move inversely to their prices.

The yield on the policy-sensitive two-year Treasury note declined 0.02 percentage points to 2.44 per cent, but remained close to its highest point in more than three years.

Germany's 10-year Bund yield edged 0.03 percentage points higher to 0.68 per cent as [minutes](#) of the ECB's latest meeting showed policymakers expected eurozone inflation to "remain above target in 2023, with significant upside risks".

Equity markets have found support so far, however, from investors switching out of bonds, where inflation erodes the instruments' fixed-income payments.

The Stoxx has fallen about 7 per cent this year but is trading above its closing price on February 23, the eve of Russia's invasion of Ukraine. Wall Street's benchmark S&P 500 share index is about 6 per cent higher than its February 23 level.

"There is a rotation towards high-quality dividend paying stocks," said Mobeen Tahir, director of macroeconomic research at ETF provider WisdomTree, adding that companies can potentially safeguard earnings by passing on price increases to customers.

Brent crude, the international oil benchmark, settled 0.48 per cent higher at \$100.58 a barrel, after falling below \$100 a barrel intraday for the first time since mid-March. Oil prices had fallen on Wednesday after the International Energy Agency [said](#) its members would tap emergency stockpiles to counter price increases from potential further bans on Russian crude imports.

In Asia, Hong Kong's Hang Seng share index fell 1.2 per cent and Japan's Nikkei lost 1.6 per cent, mirroring declines on Wall Street in the previous session.

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